

Pictet

What the firm actually is, how it makes money, why it is built the way it is - and what it is doing right now.



Written for a reader starting from zero. Part one explains asset management itself with no assumed knowledge. Everything after that is a deep dive into Pictet: the four business lines, the partnership, the economics line by line, the competitive set, and the strategic moves of 2025 and 2026.

START HERE

Parts 1 and 2. What the industry is, and the twelve Pictet numbers worth knowing by heart.

THE BUSINESS

Parts 3 to 7. The history, the partnership, the four business lines and the 2025 accounts taken apart line by line.

THE ARGUMENT

Parts 8 to 11. Competitors, what genuinely sets Pictet apart, what it is doing now, and how to talk about it.

CONTENTS

What is in this guide

Read it in order if you are new to the industry. If you already know what an asset manager does, start at Part 2 - but Figure 7 in Part 1 is worth two minutes anyway, because it sets up the argument the whole document makes.

Part 1 · Asset management, explained from zero	What the industry is, who pays whom, and how a fee becomes a business
Part 2 · Pictet at a glance	The numbers that matter and what they mean
Part 3 · The story: 220 years in two pages	How a bank founded in the wreckage of the French Revolution became a global asset manager
Part 4 · How Pictet is built	The partnership, the seven owners, and why the ownership structure is the strategy
Part 5 · The four business lines	Wealth Management, Asset Management, Alternative Advisors, Asset Services
Part 6 · How Pictet actually makes money	The 2025 income statement taken apart, with the margins calculated
Part 7 · The investment engine	Thematics, emerging markets, the house view, and what they genuinely sell
Part 8 · The competitive landscape	Three arenas, the peer numbers, and the definitional trap in every league table
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Part 10 · What is happening right now	The 2025-26 moves decoded and what they signal
Part 11 · Interview toolkit	Numbers to memorise, five things most candidates will not say, and questions to ask
Appendix · Data notes, caveats and sources	Where every figure came from and what it does and does not mean

A NOTE ON HONESTY

This document deliberately includes the things Pictet's own marketing does not say: the flat profit in a record year, the middling cost-income ratio, the 2023 US Department of Justice settlement, and the fact that the headline asset figure is not comparable with its rivals'. If you are using this to prepare for an interview, that material is more useful than the good news, because everyone else will have read the good news.

PART 1

Asset management, explained from zero

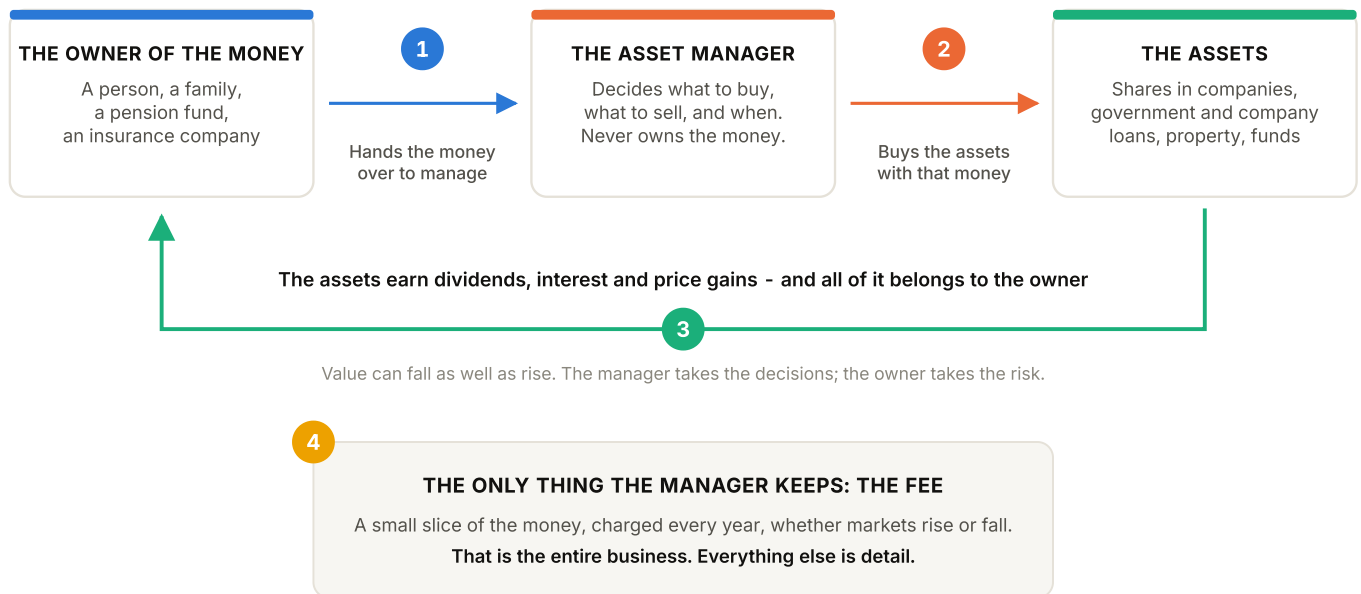
No jargon, no assumed knowledge. By the end of this part you will understand what the industry does, who pays whom, why the fee is charged the way it is, and what the four kinds of firm in it are. Everything about Pictet then becomes easy.

The whole industry in one sentence

Asset management is looking after other people's money and being paid a small slice of it every year for doing so.

That is genuinely all of it. Every firm in this industry - a Swiss private bank, a giant American index house, a hedge fund, a pension consultant - is a variation on that sentence. The differences are in *whose* money, *what* they buy with it, and *how big* the slice is.

FIGURE 1 The four steps that make up the entire business



The single most important thing on this page is step 4. The manager never owns the money, never keeps the returns and does not take the loss. It is paid a fee for making the decisions.

Why the fee is charged the way it is

Fees are quoted in **basis points**, usually shortened to **bps** and said out loud as "bips". One basis point is one hundredth of one per cent. The reason the industry uses such a small unit is that the numbers it is applied to are very large.

FIGURE 2 How a fraction of a per cent becomes a large business

STEP 1 - What a 'basis point' is

1%

= 100 basis points
= 1 franc per 100

0.50%

= 50 basis points
= 50 centimes per 100

0.10%

= 10 basis points
= 10 centimes per 100

STEP 2 - Why it turns into a real business

CHF 100bn

money looked after

X

42 bps

average fee rate

=

CHF 420m

revenue, every year

Pictet's actual 2025 rate: CHF 3,206.8m of income on CHF 757bn of assets = 42.4 basis points.

STEP 3 - The thing that makes it lucrative

Managing CHF 200bn does not cost twice as much as managing CHF 100bn. The people, systems and research are largely already paid for. So most of each new franc of fee income drops through to profit. This is why every firm in the industry is obsessed with gathering assets.

THE ONE ECONOMIC IDEA TO TAKE AWAY

Costs in this industry are mostly fixed and revenue is mostly variable with the size of the assets. A firm's research team, technology and compliance department cost roughly the same whether they are running CHF 100bn or CHF 200bn. So growth in assets flows to profit at a very high rate - and falls in assets hurt just as fast. This is why every conversation in the industry eventually becomes a conversation about net new money.

Who the money belongs to

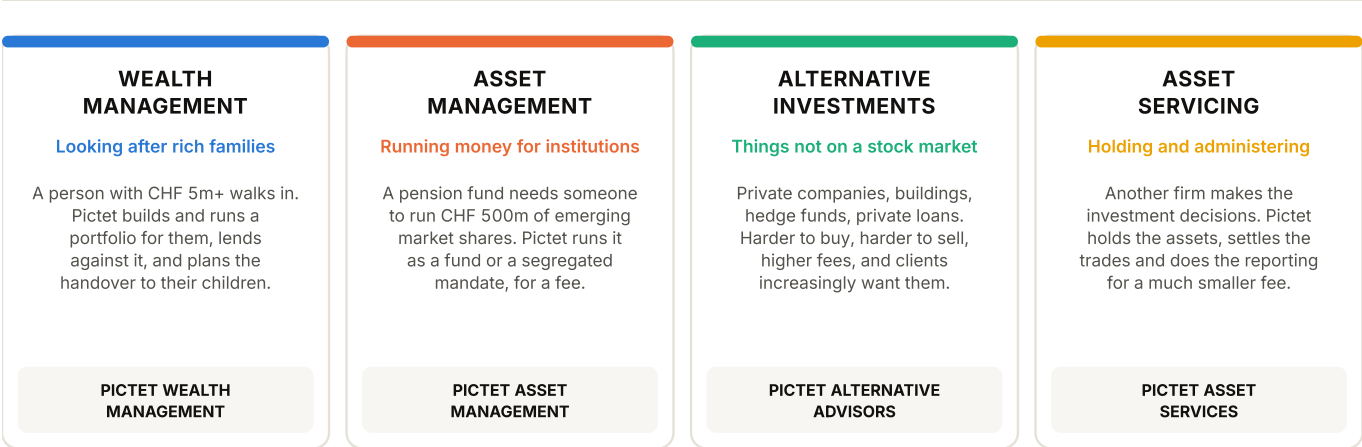
There are three broad sources, and they behave completely differently. Most firms specialise in one. A key fact about Pictet, which we will come back to repeatedly, is that it is roughly half and half in the first two.

SOURCE OF MONEY	WHO THEY ARE	WHAT THEY WANT	TYPICAL FEE
Private clients	Wealthy individuals and families. In Pictet's case, usually CHF 5m and upwards, and often far more.	Preservation first, growth second, plus tax, succession and family governance help. They are buying a relationship.	60 - 120 bps
Institutions	Pension funds, insurance companies, sovereign wealth funds, university endowments, central banks.	A specific job done well at a specific risk level, measured against a benchmark, reported on rigorously. They are buying a capability.	15 - 75 bps
Intermediaries	Other banks, independent financial advisers, independent asset managers, fund platforms who sell your funds to their own clients.	Products they can put in front of their own clients, plus the infrastructure to hold them.	Varies; a large part is paid back out as distribution fees

The four kinds of firm - and the four parts of Pictet

Once you know who the money belongs to, the shape of the industry follows. There are four distinct jobs, and they map exactly onto Pictet's four business lines. If you learn this one diagram you have learned the company's structure.

FIGURE 3 The four jobs in the industry, and the Pictet division that does each

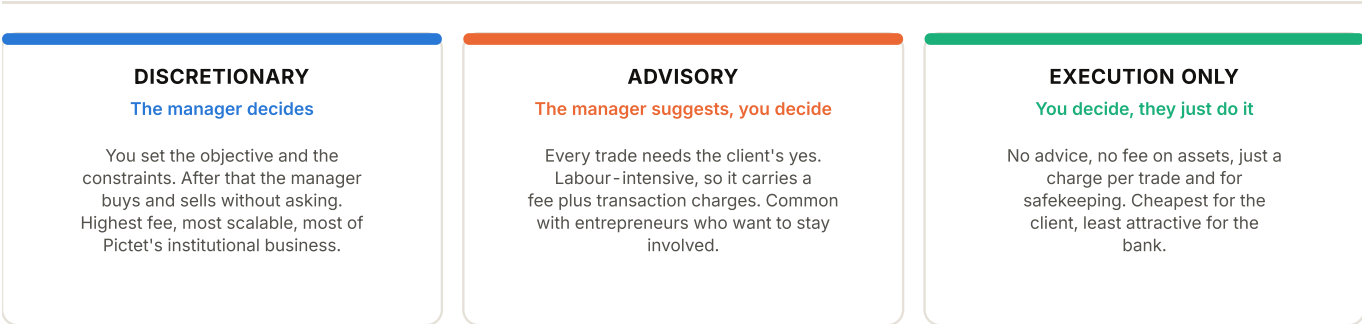


Pictet is one of very few firms that does all four at scale. Hold on to that - it is the whole argument.
Most competitors are strong in one, present in a second, and absent from the rest.

Three ways a client can be looked after

Within wealth management especially, the same client can be served in three different ways, and the choice determines both the fee and how much work the bank has to do.

FIGURE 4 Discretionary, advisory and execution - only



CHF 133.8bn of Pictet's assets sit under discretionary agreements and CHF 226.1bn in its own funds. The rest is advised or simply held.

Everyone who touches the money

A single share bought for a single client passes through five distinct functions. Some firms do one of them; a few do all five. It is worth knowing who does what, because a firm's answer to "which of these do you own?" tells you most of what you need to know about its business model.

FIGURE 5 The value chain, top to bottom

THE ADVISER / DISTRIBUTOR

Finds the client, understands them, recommends what to do. In a private bank this is the relationship manager or 'private banker'.

THE PORTFOLIO MANAGER

Actually decides which shares, bonds or funds to hold. Supported by analysts, economists and risk teams.

THE TRADER / EXECUTION DESK

Buys and sells in the market at the best available price, quietly enough not to move it.

THE CUSTODIAN

Holds the assets safely in the client's name, collects the dividends, settles the trades. Boring, essential, and paid a fee.

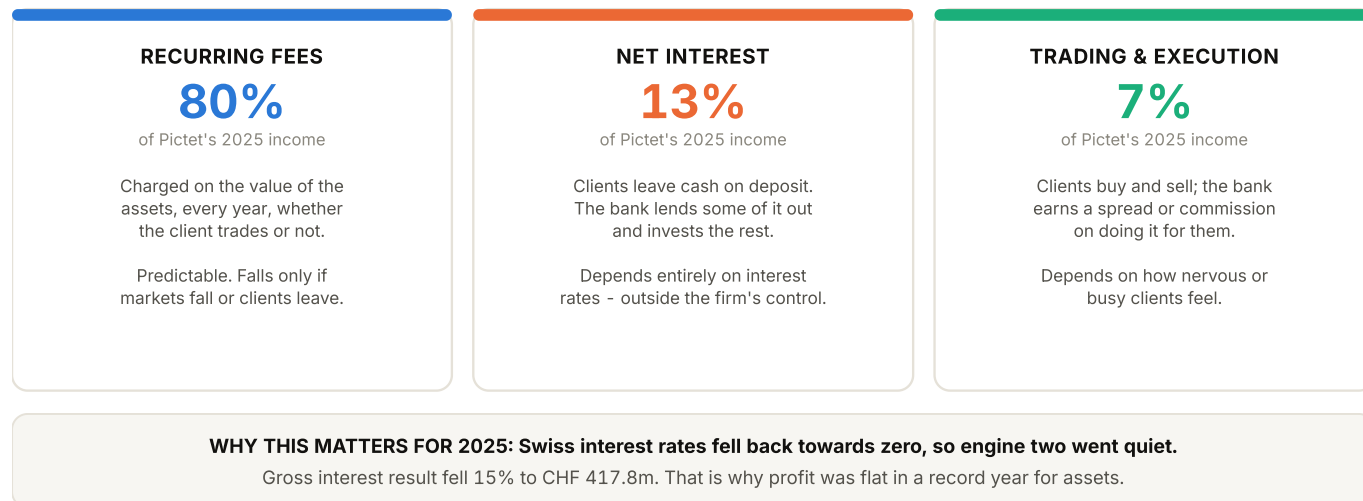
THE FUND ADMINISTRATOR & AUDITOR

Prices the fund every day, keeps the register of who owns what, and gets independently checked.

Where a private bank's revenue actually comes from

A pure asset manager has one revenue engine: fees on assets. A private bank, because it is also a *bank*, has three. This distinction explains most of what happened to Pictet's profits in 2025.

FIGURE 6 The three engines of a private bank



The vocabulary you need, and nothing more

TERM	WHAT IT ACTUALLY MEANS	WHY IT MATTERS
AUM	Assets under management. The money the firm makes the investment decisions for.	This is the number every firm leads with, and the one every firm defines slightly differently.
AUC	Assets under custody. Money the firm holds and administers but does not choose the investments for.	Earns perhaps 2 - 10 bps against 40 - 100 bps for management. Mixing the two into one headline flatters the total.

TERM	WHAT IT ACTUALLY MEANS	WHY IT MATTERS
Net new money (NNM)	New client money in, minus money withdrawn. Excludes market movements.	The single cleanest measure of whether a firm is winning. Markets are luck; net new money is skill.
Mandate	A segregated portfolio run for one client under an agreed set of rules.	The institutional alternative to a fund. No other investors to share the portfolio with.
Fund	A pooled vehicle many investors buy units in.	Cheaper to run per franc, easier to distribute, and the basis of most of Pictet Asset Management's business.
Active vs passive	Active means a human tries to beat the market. Passive means tracking it for a very low fee.	Passive has taken enormous market share. Every active manager must now justify its fee - this is the central industry pressure.
Public vs private markets	Public means listed and tradeable daily. Private means unlisted - companies, buildings, direct loans.	Private assets carry several times the fee rate. This is why every firm, Pictet included, is pushing into them.
Basis point (bp)	One hundredth of one per cent.	The unit fees are quoted in. 100 bps = 1%.
Cost-income ratio	Operating costs divided by operating income.	The industry's efficiency measure. Lower is better; the Swiss private bank median in 2026 was 78.2%.
Discretionary	The manager trades without asking the client each time.	Higher fee, and far more scalable than advisory.

Pictet at a glance

The audited 2025 numbers, published on 10 February 2026, plus the operating figures from the annual review. Learn the first eight of these and you will be ahead of most people in the room.

CHF 757bn

Assets under management
or custody
31 Dec 2025, up 4.5%

CHF 19bn

Net new money in 2025
up from CHF 11bn in 2024

CHF 3.21bn

Operating income
up 1.5% year on year

CHF 846m

Operating result
up 3.7%

CHF 667m

Consolidated profit
flat on 2024's CHF 665m

5,507

Full-time equivalent staff
group-wide

31 / 20

Offices / countries
headquartered in Geneva

220

Years old
founded 23 July 1805

7

Managing Partners
who own the entire firm

42

Equity Partners
senior leaders, at 1 April
2026

21.6%

Total capital ratio
against a 12% requirement

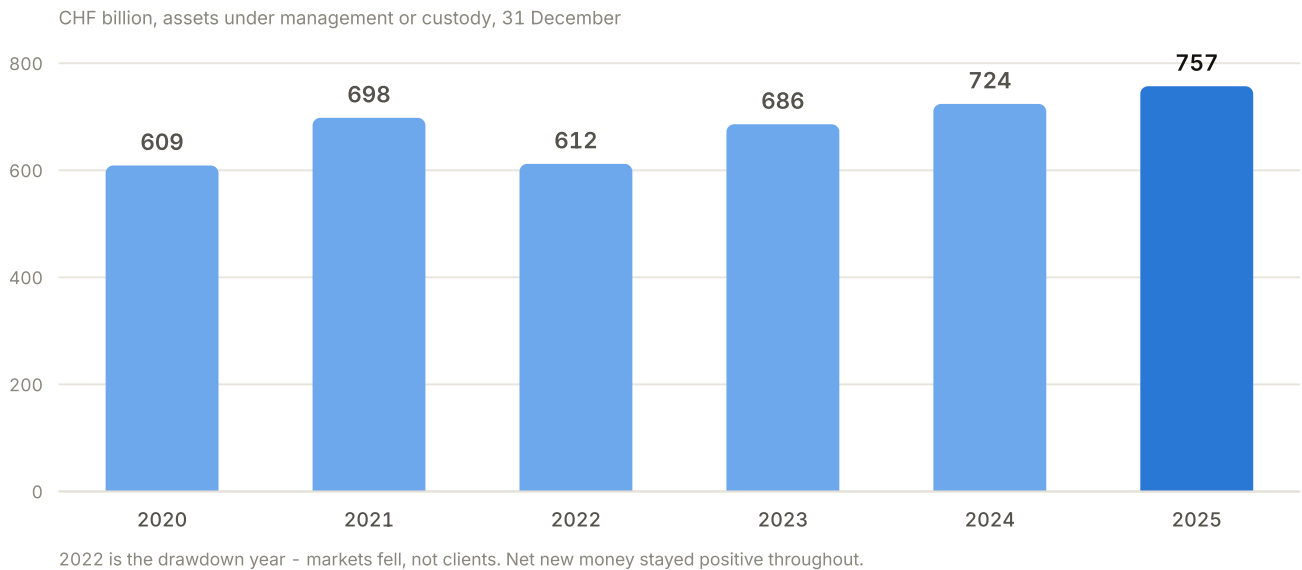
191%

Liquidity coverage ratio
against a 100% requirement

The elevator description

Pictet is a 220-year-old Geneva partnership, owned outright by seven working partners, that does four things: it looks after the money of wealthy families, runs investment funds and mandates for institutions, invests in private markets, and holds and administers assets for other firms. It has no investment bank, no retail bank, no shareholders and no stock market listing. It is roughly the size of Julius Baer in wealth and roughly the size of a mid-tier European fund house in institutional asset management - and almost uniquely, it is genuinely both.

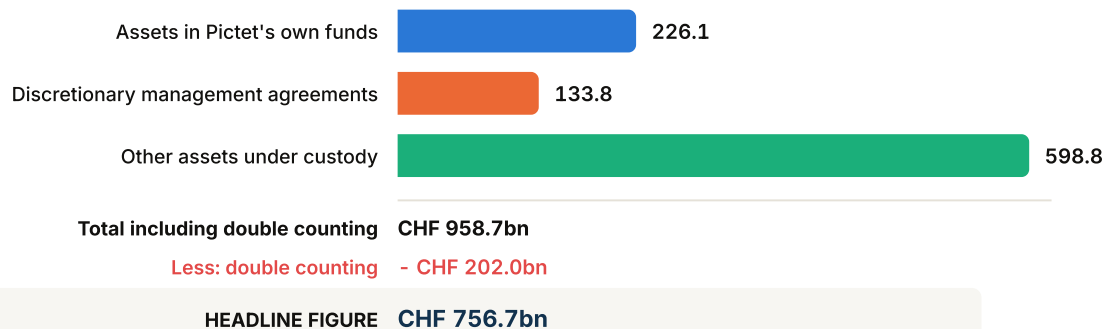
FIGURE 7 Assets under management or custody, 2020-2025



The 757 question - what that number actually contains

This matters more than it sounds. Pictet reports "assets under management *or custody*", which is a wider definition than most of its rivals use. Understanding the composition is the difference between quoting a marketing number and understanding a business.

FIGURE 8 How CHF 757bn is built up



Double counting happens when a Pictet wealth client holds a Pictet fund: the money is counted once in Wealth Management and once in Asset Management. Note also that CHF 598.8bn is custody - assets Pictet holds and administers but does not necessarily choose the investments for. Fee rates on custody are a fraction of management fees.

Source: note 25 to the 2025 consolidated accounts.

DO NOT SKIP THIS

CHF 598.8bn of the gross figure is 'other assets under custody'. Custody earns a small fraction of what management earns. So a firm reporting CHF 757bn of 'AUM or custody' is not twice the business of a firm reporting CHF 380bn of pure AUM. When you compare Pictet to a peer, always ask what each one is counting. Part 8 works through this properly.

The margins, calculated

None of these are published as ratios; all are computed from the audited income statement and balance sheet. Doing this arithmetic yourself is the single fastest way to sound like you have actually read the accounts.

MEASURE	WORKING	2025
Revenue margin on assets	CHF 3,206.8m income / CHF 757bn assets	42.4 bps
Cost-income ratio	CHF 2,308.6m operating expenses / CHF 3,206.8m income	72.0%
Cost-income including depreciation and provisions	CHF 2,360.7m / CHF 3,206.8m	73.6%
Operating margin	CHF 846.1m / CHF 3,206.8m	26.4%
Net margin	CHF 667.2m / CHF 3,206.8m	20.8%
Staff costs as a share of income	CHF 1,614.5m / CHF 3,206.8m	50.3%
Revenue per employee	CHF 3,206.8m / 5,507 FTE	CHF 582,000
Staff cost per employee	CHF 1,614.5m / 5,507 FTE	CHF 293,000
Profit per employee	CHF 667.2m / 5,507 FTE	CHF 121,000
Return on year-end equity	CHF 667.2m / CHF 3,283.5m	20.3%
Return on average equity	CHF 667.2m / CHF 3,532.8m average	18.9%
Organic growth rate	CHF 19bn net new money / CHF 724bn opening assets	2.6%
Effective tax rate	CHF 178.8m / CHF 846.0m pre-tax	21.1%

All figures from the Pictet Group Annual Report 2025. Ratios are the author's calculation, not Pictet's disclosure.

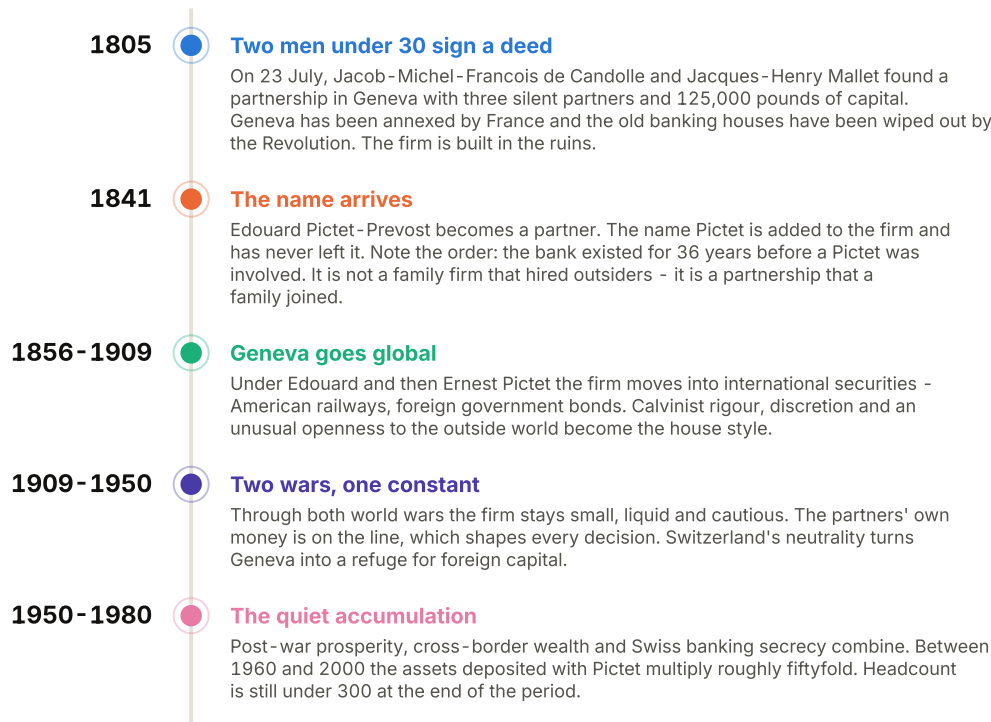
THE NUMBER THAT WILL IMPRESS

A 42.4 basis point revenue margin sounds thin for a private bank - peers are often quoted at 60-80 bps. It is thin **because the denominator includes CHF 599bn of low-fee custody assets**. Strip the custody business out and the margin on genuinely managed money is far higher. Spotting that the ratio is an artefact of the disclosure, not a sign of weakness, is exactly the kind of reading an interviewer is testing for.

The story: 220 years in two pages

Pictet is old, and it uses that fact constantly in its marketing. But the history is genuinely load-bearing: three specific moments explain why the firm is shaped the way it is today. They are marked in the timeline below.

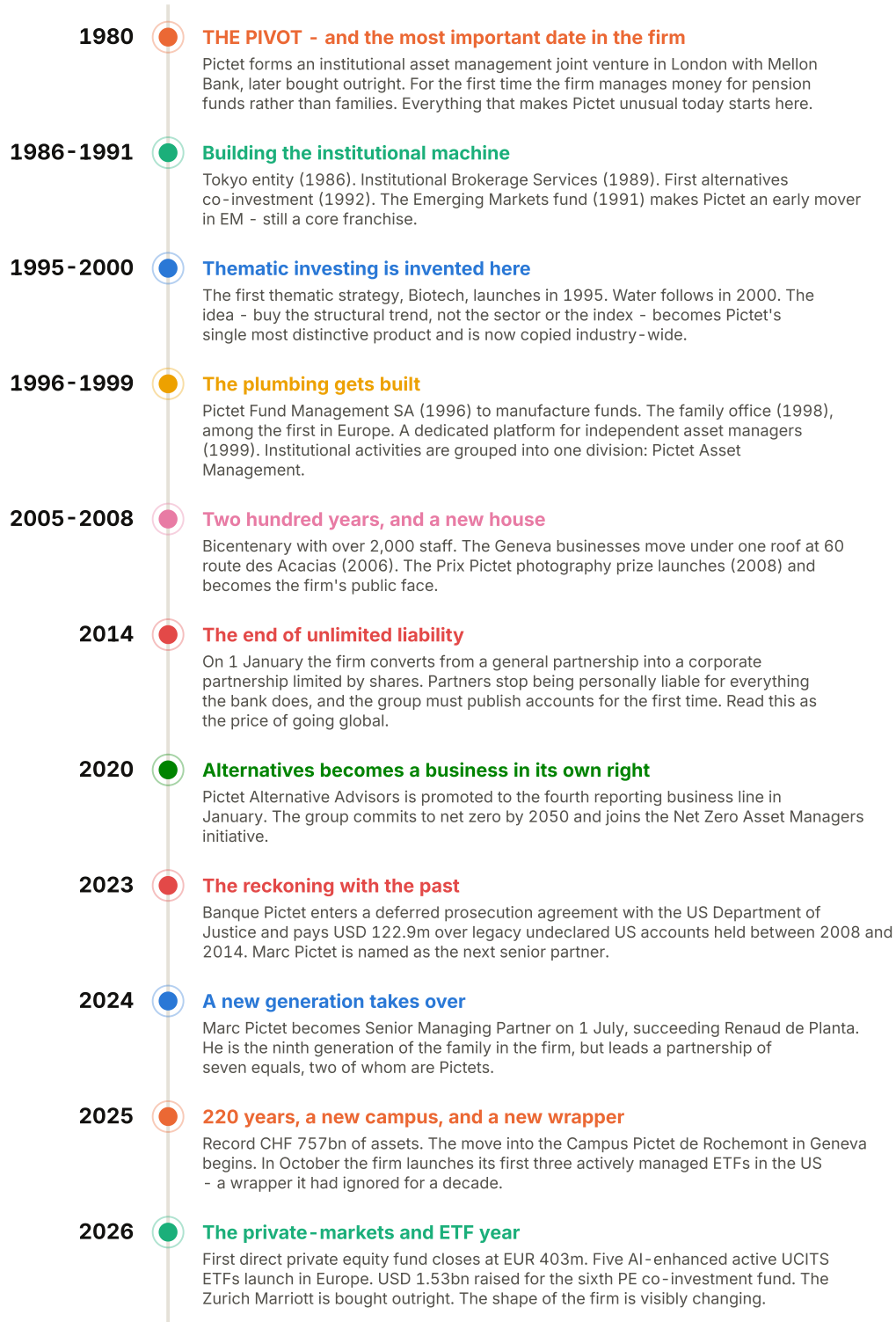
FIGURE 9 1805 to 1980: the private bank



MOMENT ONE - 1841, AND A DETAIL ALMOST EVERYONE GETS WRONG

Pictet was not founded by a Pictet. The firm was founded in 1805 by de Candolle and Mallet; Edouard Pictet-Prevost joined as a partner 36 years later and the name stuck. This is not trivia. It is the origin of the whole governance philosophy: the partnership came first and the family joined it, which is why partners have never had to be family and why ownership has never been inheritable. Pictet calls this 'transmission without DNA'.

FIGURE 10 1980 to 2026: the asset manager



MOMENT TWO - 1980, THE DATE THAT ACTUALLY MATTERS

In 1980 Pictet set up an institutional asset management joint venture in London with Mellon Bank. Before that it was a private bank. After it, it was a private bank **and** an institutional fund manager - and that dual identity is now the single most distinctive thing about the firm. Institutional asset management now accounts for roughly the same assets as wealth management. Almost no European private bank can say that. If you are asked what makes Pictet different, this is a better answer than 'it is 220 years old'.

MOMENT THREE - 2014, THE END OF UNLIMITED LIABILITY

For over two centuries the partners were personally, jointly and severally liable for everything the bank did. On 1 January 2014 the firm converted into a corporate partnership limited by shares. Partners' personal wealth is no longer on the hook for the group's obligations, and the group must now publish audited accounts - which is why the figures in this document exist at all. The trade was legal protection and international expansion in exchange for the purest form of the partnership ideal. Lombard Odier made the same change at the same time. Expect a thoughtful interviewer to ask whether the culture survived it.

The pattern in the history

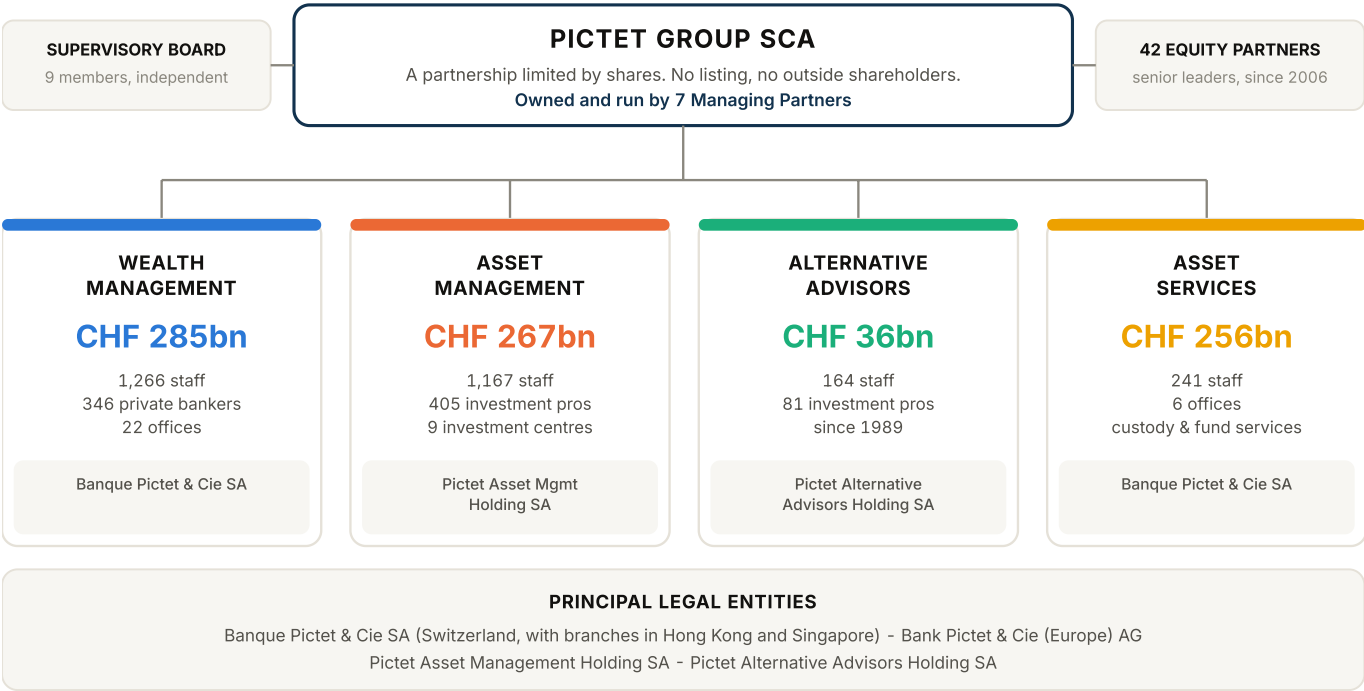
Read end to end, the same three behaviours repeat in every era. They are worth naming because they are also the firm's stated strategy today.

- **It never buys anyone.** In 220 years there is essentially no history of acquisitions. Growth comes from hiring and from launching products. Francois Pictet's stated view is that growth by hiring the right people is more effective than M&A, which damages culture. In an industry currently consolidating hard, this is a genuine strategic choice with real costs.
- **It enters markets late and then stays forever.** Marc Pictet's own line is that it took the firm decades to open an office in New York. The upside is that it has almost never had to retreat from one.
- **It invents products rather than copying them.** Emerging markets in 1991, thematic equities in 1995, water in 2000, robotics in 2015. The firm's best businesses were all things nobody else was doing at the time.

How Pictet is built

The ownership structure is not a quirk of the firm. It is the firm's strategy, its risk framework and its marketing pitch simultaneously. This is the part of the business most candidates describe badly.

FIGURE 11 The Pictet Group: ownership, oversight and the four business lines



The rules of the partnership

These are unusually strict and unusually specific, and they are the reason the firm behaves the way it does.

RULE	THE DETAIL	WHAT IT PRODUCES
Seven owners, equal shares	The Managing Partners hold equal stakes and equal voting rights. Decisions are taken by consensus, in practice unanimously.	No single person can force a decision, and no faction can outvote another. Marc Pictet: 'we aim to take the pressure out of the system.'
Partners must work in the business	Every partner works at the bank full time and lives in Geneva. There are no passive owners.	The people taking the risk are the people running the business. There is no absentee shareholder to please.
Mandatory retirement at 65	No exceptions, including for family members.	Forced generational turnover. Succession is a scheduled event, not a crisis.

RULE	THE DETAIL	WHAT IT PRODUCES
Ownership cannot be inherited	Departing partners sell their stake at book value. Incoming partners buy in, funded by a loan from the bank.	Nobody ever gets rich by selling the firm. There is no windfall from growing the balance sheet and cashing out - which removes the single biggest incentive for reckless expansion in finance.
Partners are chosen unanimously	On expertise and cultural fit. Marc Pictet: 'what matters most is that we also enjoy each other's company.'	Extreme continuity. Only 47 partners in 220 years, with an average tenure of over 21 years.
Equity Partners since 2006	42 senior executives now hold this rank, each leading a strategically important function.	Lets the firm grow without every decision bottlenecking at seven people. Marc Pictet: 'without that change we would not be where we are today.'
Independent supervisory board	Nine members, chaired by Shelby du Pasquier, including former senior partners Nicolas Pictet, Remy Best and Renaud de Planta.	Oversight without ownership dilution.

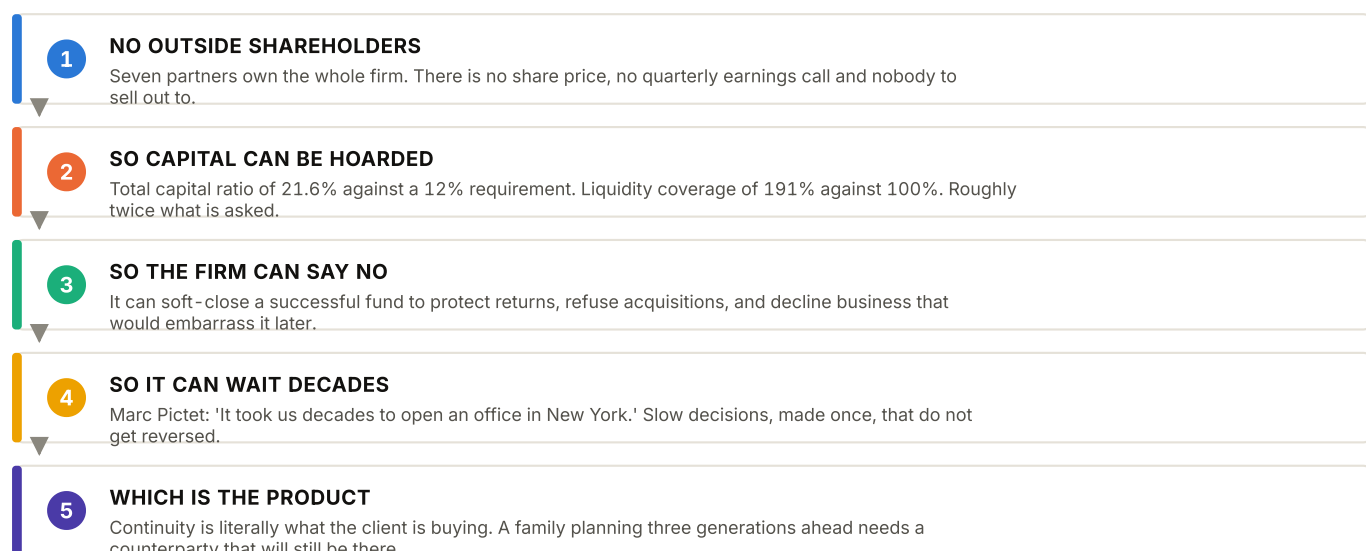
It took us decades to open an office in New York.

MARC PICTET, SENIOR MANAGING PARTNER, ON HOW THE PARTNERSHIP DECIDES

Why the structure is the strategy

The chain below is the argument to make if you are asked why the ownership model matters commercially rather than sentimentally. Each step is verifiable in the accounts.

FIGURE 12 From ownership structure to client proposition, in five steps



The current partners

Worth knowing by name. Marc Pictet became Senior Managing Partner on 1 July 2024, succeeding Renaud de Planta. He is the ninth generation of the family in the firm, and one of two Pictets among the

seven.

MANAGING PARTNER	NOTE
Marc Pictet	Senior Managing Partner since 1 July 2024
Laurent Ramsey	Long-standing asset management and distribution background
Sebastien Eisinger	Head of Asset Management and Deputy CEO
Elif Aktug	The first woman to become a Managing Partner at Pictet
Francois Pictet	Ninth generation; has articulated the anti-M&A position publicly
Sven Holstenson	Wealth management
Raymond Sagayam	Has spoken publicly on the emerging markets push

As at 2026. Alongside them sit 42 Equity Partners as at 1 April 2026.

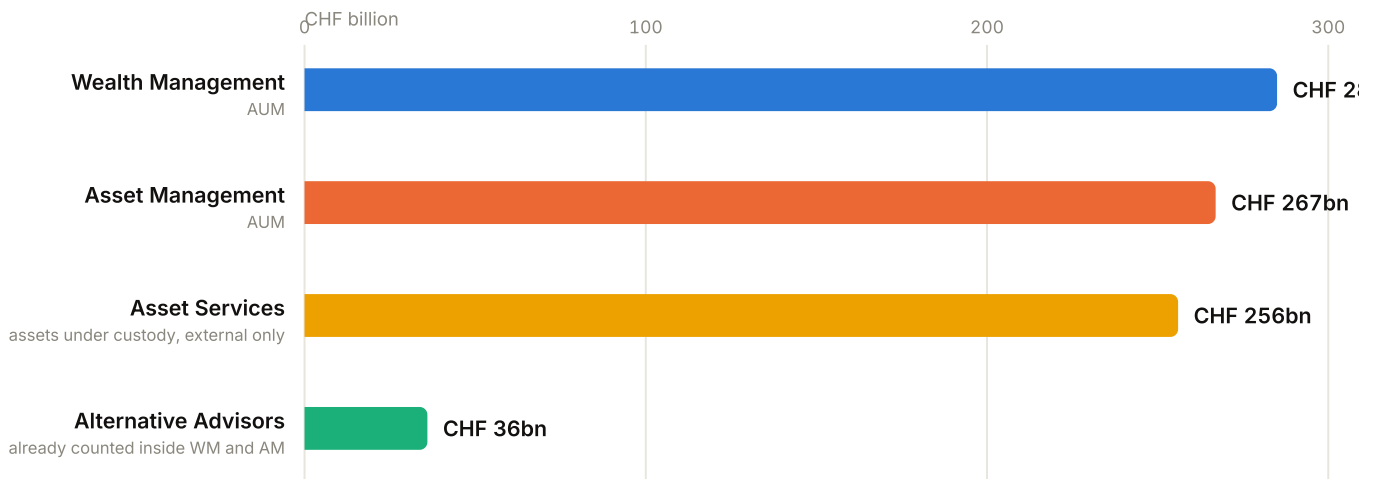
THE STRATEGIC TENSION WORTH NAMING

The partnership model buys continuity and independence, and it costs speed and scale. Pictet cannot issue shares to fund an acquisition, cannot use stock to pay for a team lift-out, and cannot move faster than seven people can agree. In a decade when the Swiss private banking sector has shrunk from 156 banks to 79 through consolidation, choosing not to participate is a real bet - that organic growth compounds faster than integration risk destroys value. So far, at 2.6% organic asset growth in 2025, the bet is working but not spectacularly.

The four business lines

What each one sells, who buys it, how it charges, and what job it does for the group. Pictet has reported in this shape since Alternative Advisors was promoted to a full business line in January 2020.

FIGURE 13 Assets by business line, 31 December 2025



These do not add to CHF 757bn. Alternative Advisors' assets sit inside the other two lines, and CHF 202bn of group assets are double-counted (e.g. a Pictet fund held for a Pictet wealth client). See page 'The 757 question'.

1. Pictet Wealth Management

CHF 285bn · 1,266 staff · 629 investment professionals, of whom 346 are private bankers · 22 offices

The original business, and still the largest. It serves wealthy individuals and families – the practical entry point is around CHF 5m, and the firm's real focus is well above that, up to the dynastic families with USD 100m and more whose affairs span several countries and generations.

What it actually sells is a bundle: a discretionary or advisory investment portfolio, lending against that portfolio, custody, and then the things that are hard to buy anywhere else – succession planning, family governance, philanthropy structuring, and a family office service that Pictet was among the first European banks to launch, in 1998. The ratio to hold on to is **346 private bankers for CHF 285bn**: roughly CHF 824m of assets per banker, which tells you immediately that this is not a mass-market business.

HOW THE MONEY IS ACTUALLY MADE HERE

Three ways at once, and this is the bit people miss. First, a management fee on the portfolio. Second, transaction income when the client trades. Third – and this is the invisible one – **net interest**. Wealth clients leave very large cash balances: Pictet held CHF 31.5bn of customer deposits at end-2025 against CHF 8.1bn of loans to customers and CHF 17.5bn of financial investments. The spread on that is real money, and it is why a private bank is a bank and not just a manager.

2. Pictet Asset Management

CHF 267bn at end-2025, USD 354bn at 30 June 2026 · 1,167 staff · 405 investment professionals · 9 investment centres · 18 offices · institutional manager since 1980

This is the half of Pictet that most people do not know exists, and it is almost as big as the private bank. Its clients are pension funds, insurers, sovereign wealth funds, central banks, and – increasingly important – other banks and platforms that distribute Pictet funds to their own clients.

The product range is genuinely differentiated rather than a full-line supermarket: thematic equities (the crown jewel, covered in Part 7), emerging market equity and debt, multi-asset, fixed income, and the Quest quantitative franchise built over more than thirty years. The firm states explicitly that it will **soft-close strategies to protect returns** rather than keep taking money – a claim that is unusual because it is checkable and costs real revenue.

3. Pictet Alternative Advisors

CHF 36bn · 164 staff · 81 investment professionals · investing in alternatives since 1989, first co-investment 1992 · a full business line since January 2020

Hedge funds, private equity, private debt and real estate. The critical accounting point, which is easy to get wrong: **this CHF 36bn is not additive** – it is client money already counted inside Wealth Management and Asset Management, reported separately because it is managed by a different team with different skills.

This is the fastest-moving part of the group and, as Part 10 shows, where almost every strategic announcement of 2026 has come from. The direction of travel is unmistakable: from picking other people's funds, to co-investing alongside them, to buying assets outright. Each step up that ladder multiplies the fee Pictet can charge.

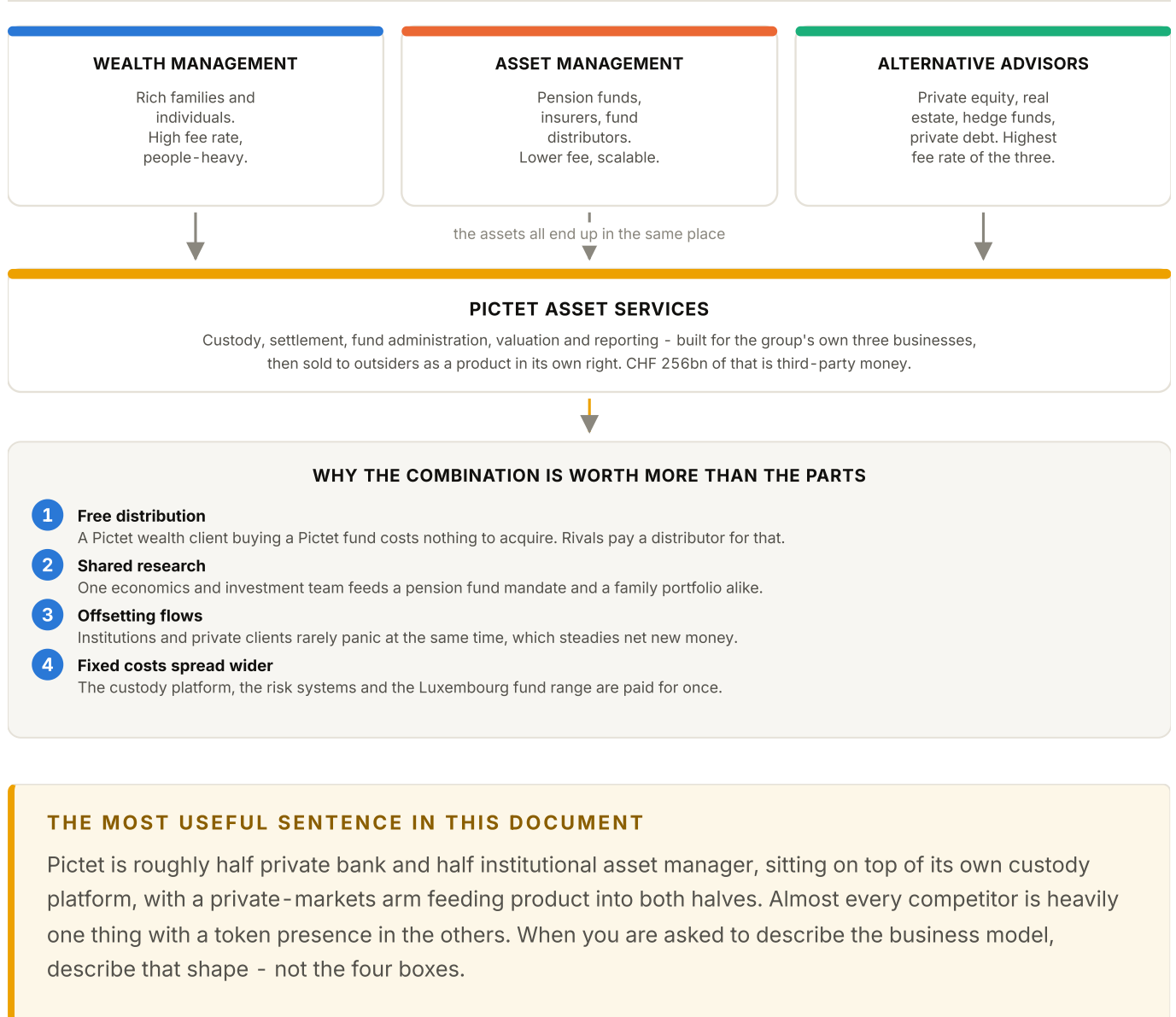
4. Pictet Asset Services

CHF 256bn of third-party assets under custody, of which CHF 135bn in fund services · 241 staff · 6 offices · one global platform

The least glamorous and most strategically interesting line. It provides custody, settlement, fund administration, valuation, reporting and trading services – originally built for Pictet's own three investment businesses, then sold to outsiders as a product in its own right. Its target clients are independent asset managers, external wealth managers, fund managers, pension funds and family offices.

Its stated positioning is to be the *finest, not the biggest*, which is a sensible way of saying it cannot outspend BNY or State Street on technology and does not intend to try. Its genuine competitive claim is structural: **because Pictet has no investment bank, it has no proprietary trading desk that could be on the other side of a client's trade**. For an independent manager choosing a custodian, that absence of conflict is worth paying for.

FIGURE 14 How the four lines reinforce each other

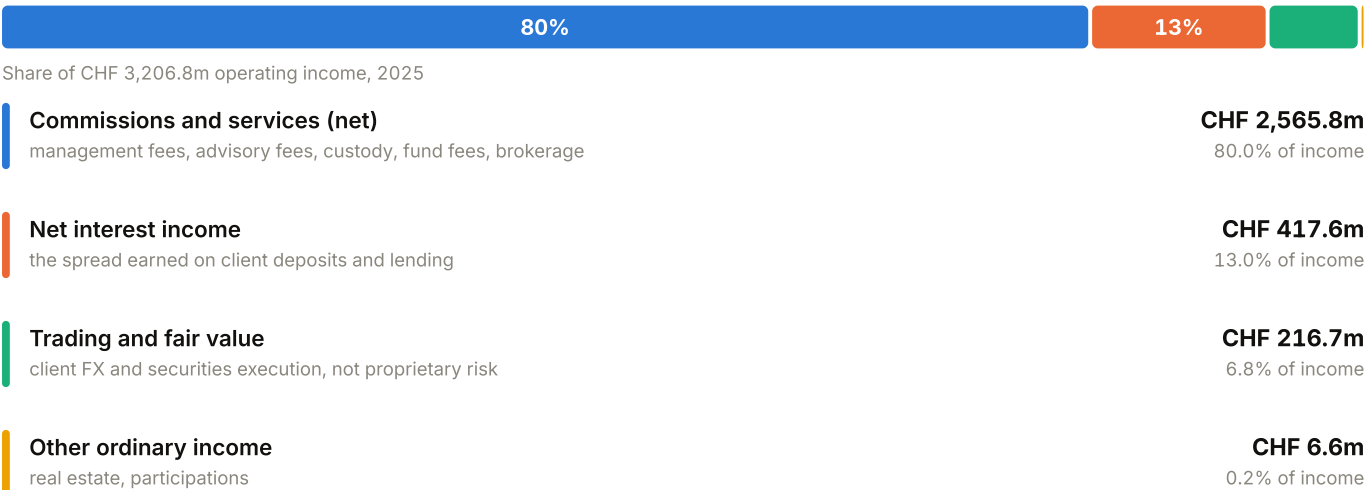


PART 6

How Pictet actually makes money

The 2025 consolidated income statement, taken apart. Pictet does not publish revenue or profit by business line, so this is the group picture - but the group picture is unusually revealing.

FIGURE 15 Where the CHF 3,206.8m of 2025 income came from



The commission line, gross and net

The headline commission figure is not what Pictet keeps. Working through it is worth doing because the gap is enormous.

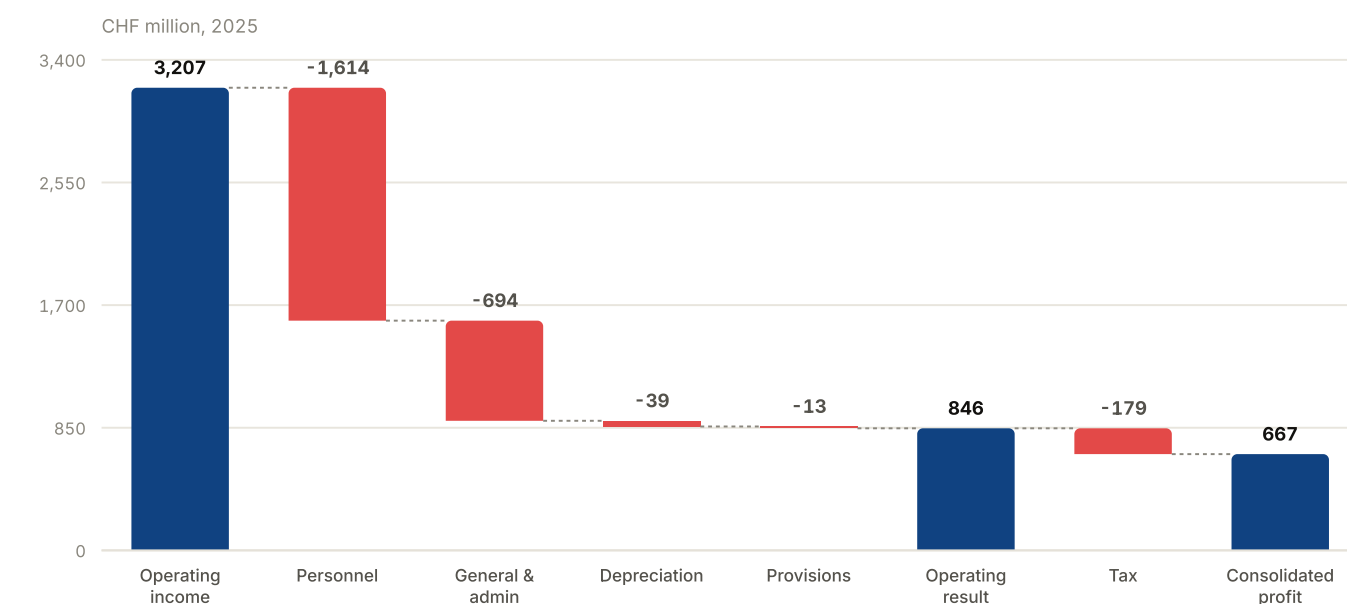
LINE	CHF M	WHAT IT IS
Commission income from securities trading and investment activities	3,473.0	Management fees, advisory fees, fund fees, custody fees and brokerage - the core of the business
Commission income from lending activities	3.2	Fees on Lombard and mortgage lending
Commission income from other services	23.7	Everything else
Commission expenses	(934.1)	Paid away to distributors, sub-custodians, exchanges and platforms who bring or hold the business
Net commission result	2,565.8	80% of total operating income

WHY THAT CHF 934M MATTERS

Pictet pays away 27 centimes of every franc of gross commission income. That is the cost of distribution - the platforms, banks and intermediaries that sell Pictet funds to clients Pictet does not own. It is also, precisely, the cost that its own wealth management arm avoids: a Pictet private client buying a Pictet fund generates no distribution payment at all. That is the financial mechanism behind the 'free distribution' point in Figure 14.

Every franc of income, and where it goes

FIGURE 16 From operating income to consolidated profit, 2025



Every franc of income, and where it goes. Half of all revenue is paid to staff.
Extraordinary items of CHF 0.1m are omitted.

INCOME STATEMENT	2025	2024	CHANGE
Net interest result	417.6	491.7	-15%
Net commission and services	2,565.8	2,474.5	+4%
Trading and fair value	216.7	188.9	+15%
Other ordinary result	6.6	5.1	+30%
Operating income	3,206.8	3,160.2	+1%
Personnel expenses	(1,614.5)	(1,573.0)	+3%
General and administrative expenses	(694.1)	(715.1)	-3%
Depreciation and amortisation	(39.4)	(37.4)	+5%
Provisions and losses	(12.8)	(18.4)	-30%
Operating result	846.1	816.3	+4%

INCOME STATEMENT	2025	2024	CHANGE
Taxes	(178.8)	(157.6)	+13%
Consolidated profit	667.2	665.4	0%

CHF million. Source: Pictet Group Annual Report 2025, consolidated income statement.

THE SINGLE BEST INSIGHT IN THE 2025 ACCOUNTS

Assets hit a record. Net new money nearly doubled to CHF 19bn. Commission income rose 4%. And profit was **completely flat**, at CHF 667m against CHF 665m. The reason is one line: the net interest result fell 15%, from CHF 491.7m to CHF 417.6m, as Swiss interest rates fell back towards zero. The fee engine did its job and the rate engine gave the gains straight back. If you say only one thing about Pictet's 2025 results, say this.

The balance sheet, and the thing hiding in it

BALANCE SHEET AT 31 DECEMBER	2025	2024
Total assets	42,928	43,236
Customer deposits	31,537	30,278
Loans to customers	8,057	7,273
Financial investments	17,466	16,048
Trading portfolio assets	8.0	19.9
Total equity	3,283	3,782
Total capital ratio	21.6%	-
Liquidity coverage ratio	191%	-

CHF million except ratios.

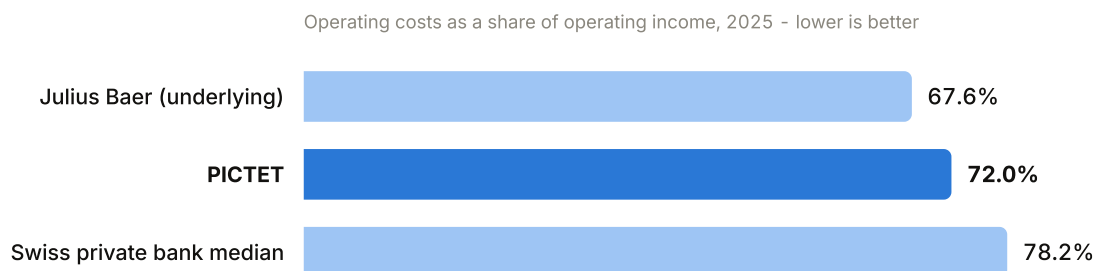
THE STAT THAT PROVES THE MARKETING CLAIM

Pictet's trading portfolio assets were **CHF 8.0m** against total assets of **CHF 42.9bn**. That is 0.02% of the balance sheet - two hundredths of one per cent. When Pictet says it takes no proprietary risk and has no conflicts of interest with clients, the balance sheet does not merely support the claim, it makes it almost tautological. Very few banks can show a number like that. It is the most quotable fact in the accounts.

ONE MORE THING WORTH NOTICING

Total equity *fell* from CHF 3.78bn to CHF 3.28bn during a profitable year. The cash flow statement shows CHF 1,070m of dividends paid in 2025 (relating to 2024) against 2024 profit of CHF 665m - a payout well above earnings. Read together with a 21.6% capital ratio against a 12% requirement, this says the partners judged the firm to be carrying more capital than the business needs and returned the excess to themselves. It is a small window into how a partnership allocates capital differently from a listed bank.

FIGURE 17 Cost-income ratio against the market



Pictet on the same basis as its own accounts (personnel + G&A / operating income). Including depreciation and provisions it is 73.6%. Pictet is better than the sector but behind the best listed operator - the price of a people-heavy, service-heavy model.

The investment engine

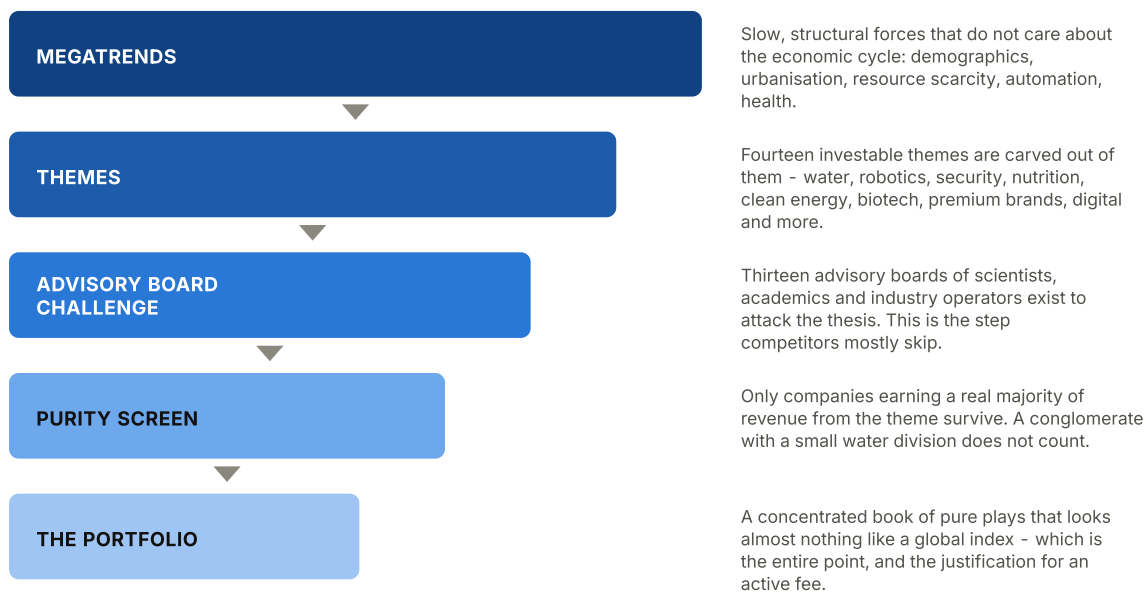
What Pictet actually sells to investors, which of it is genuinely distinctive, and what the firm currently believes about markets. This is the part to read the night before an interview.

Thematic equities: the crown jewel

Pictet did not join thematic investing, it largely invented it as a commercial discipline. The first strategy, Biotech, launched in 1995. Water followed in 2000 and has just passed its 25th anniversary; Robotics launched in 2015 and passed ten years in October 2025 with roughly USD 13bn in its main fund alone.

The franchise today: **around USD 62bn across 16 strategies, more than 50 dedicated investment professionals and 13 advisory boards.** Pictet was the largest active thematic fund provider in the world by assets as at June 2025.

FIGURE 18 How a megatrend becomes a portfolio



USD 62bn - 16 strategies - 13 advisory boards - 50+ investment professionals - first strategy 1995

The largest active thematic equity manager in the world by assets. This is Pictet's single most defensible product.

WHY THE ADVISORY BOARDS ARE THE ACTUAL MOAT

Anyone can launch a robotics fund. What is hard to copy is thirteen standing boards of scientists, academics and industry operators whose job is to attack the investment thesis - plus a partnership with the Copenhagen Institute for Futures Studies to identify themes in the first place. That is an expensive, slow-to-build apparatus that a competitor cannot buy off the shelf, and it is the honest answer to 'why is Pictet better at this than BlackRock?'

The second half of the argument is portfolio construction. Themes are deliberately built from *pure plays* - companies earning a real majority of revenue from the theme - which is why the portfolios look almost nothing like a global index. When Pictet's equity CIO noted years ago that only 15% of the Global Megatrend fund's holdings were in the MSCI World index, that was the whole product proposition in one number: you cannot get this exposure from a tracker, so an active fee is defensible.

The other pillars

CAPABILITY	SINCE	WHAT IT IS AND WHY IT MATTERS
Emerging markets	1991	Pictet launched an EM fund in 1991, well before it was fashionable, and built out both EM equity and EM debt. It remains a core institutional franchise and is central to the current house view.
Thematic equities	1995	16 strategies, roughly USD 62bn. The largest active thematic manager globally. Discussed above.
Multi-asset	-	Regionally tailored balanced portfolios - the workhorse product for both wealth clients and smaller institutions.
Fixed income	-	Including a well-regarded emerging market debt team. Benefits from the shift back into bonds after the rate cycle.
Quest (quantitative)	1990s	More than thirty years of systematic research. Now the engine behind the AI-enhanced ETF range launched in 2025-26 - an old capability finding a new distribution channel.
Alternatives	1989	Hedge funds, private equity, private debt and real estate; increasingly direct rather than fund-of-funds.

What Pictet currently thinks about markets

Useful to be able to summarise, because it shows you have read past the corporate pages. The 2026 outlook and the ten-year Secular Outlook broadly say:

- **The near term is constructive but unspectacular.** World GDP growth of about 2.6%, roughly trend, which limits inflationary pressure. The divergent, "K-shaped" economy is expected to close from the bottom.
- **Equities up modestly, emerging markets leading.** Global equities are expected to deliver something like 5% in 2026, with emerging market stocks among the best performers.
- **The dollar weakens.** A fall of roughly 5% is expected, as the yield gap between US and non-US developed government bonds narrows. Government bond yields edge higher.
- **Over ten years, 60/40 is not enough.** The Secular Outlook argues investors will need income-generating assets, active currency management, secular growth themes such as AI, and a bigger allocation to private assets to get real returns.
- **US exceptionalism fades.** Market leadership is expected to change, with selected European and emerging market assets offering better long-run prospects.

HOW THIS CONNECTS TO THE STRATEGY

Notice that the house view and the corporate strategy are the same argument. 'Look beyond 60/40 and use more private assets' is an investment opinion; it is also the justification for the direct private equity fund, the real estate purchases and the co-investment vehicles described in Part 10. 'Emerging markets will lead' is a forecast; it is also why the firm launched EM ETFs in April 2026. Being able to join those two dots is worth a lot in an interview.

Sustainability, stated plainly

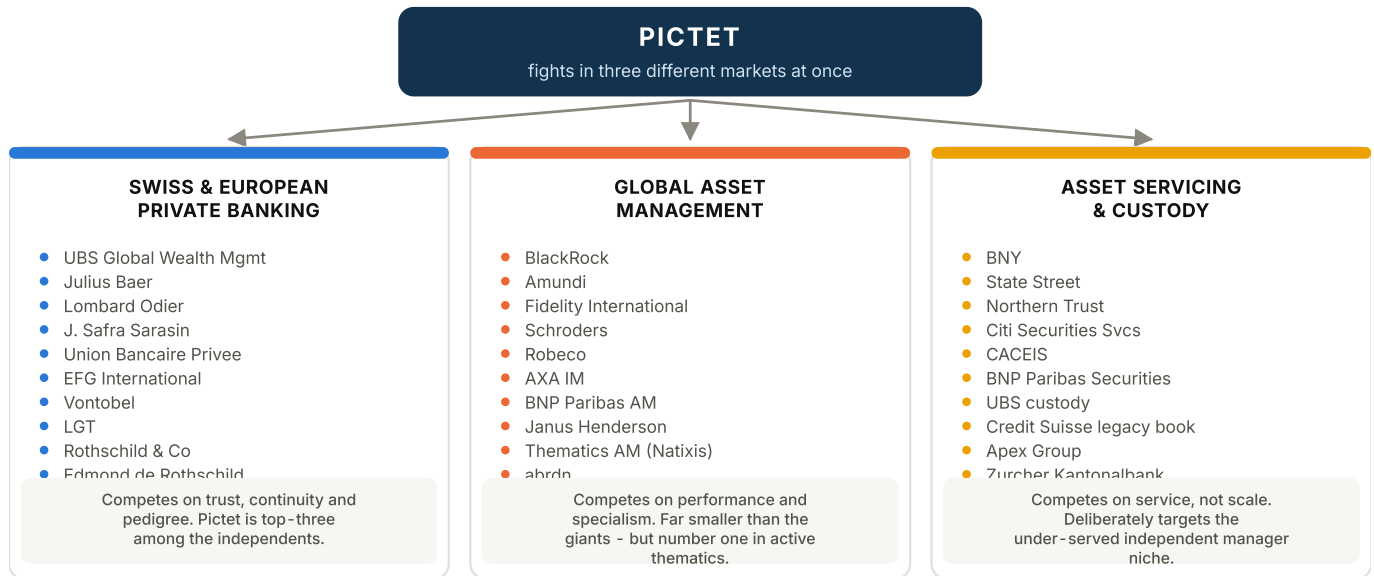
Pictet was the **first Swiss financial institution to set externally validated science-based climate targets** for 2030 consistent with 1.5 degrees, and has committed to net zero by 2050 as a signatory of the Net Zero Asset Managers initiative. As at the most recent report, 48% of companies in its managed portfolios had science-based targets, against a 40% target for end-2025.

The approach is deliberately *engagement over exclusion*: rather than selling out of fossil fuel companies, the firm says it prefers to press them to set 1.5-degree-aligned targets. Firm-wide it excludes thermal coal mining above 25% revenue exposure, and its dedicated responsible investment strategies add exclusions for coal-fired power, unconventional oil and gas extraction, and oil and gas production.

The competitive landscape

Pictet does not have one competitive set, it has three, and it is a different size in each. Getting this right - including the trap in every published league table - is what separates a good answer from a generic one.

FIGURE 19 Three arenas, three sets of rivals



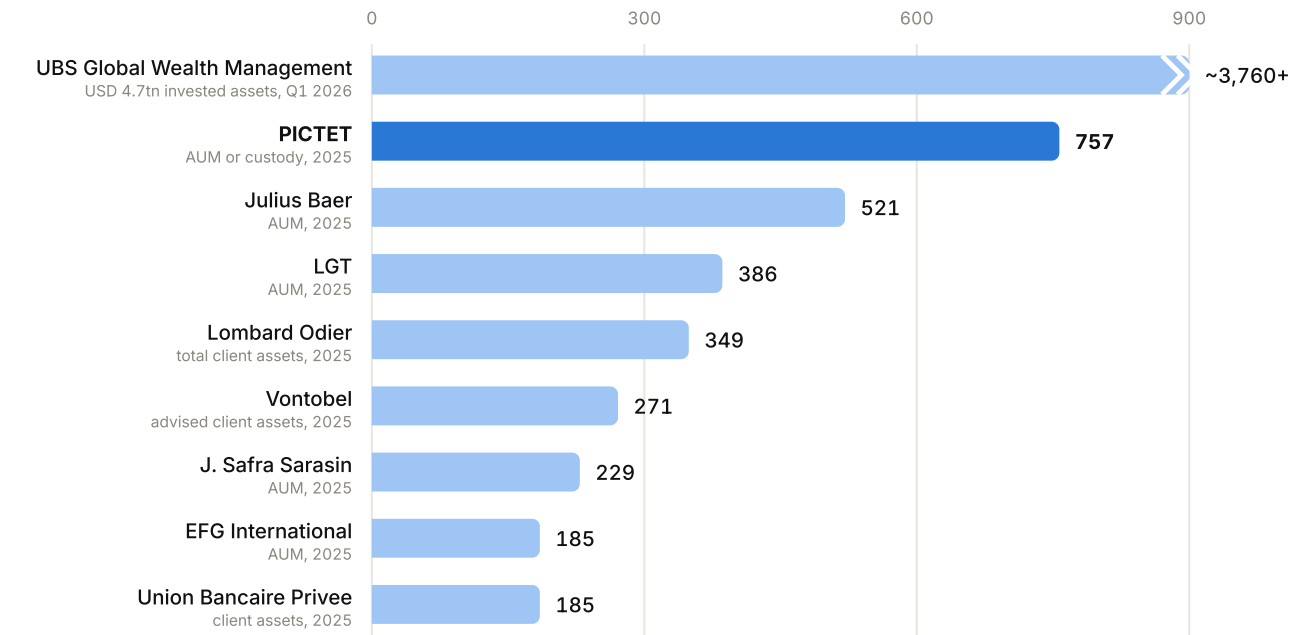
Almost nobody else is a serious competitor in all three columns. That is the structural answer to 'what makes Pictet different'.

The cost of it: Pictet is not the biggest name in any single column, and has to justify the spread every day.

The peer numbers - and the trap

FIGURE 20 European wealth managers by their own headline asset figure, 2025 - 26

CHF billion (converted at approx. 0.80 USD/CHF where needed)



READ THIS BEFORE QUOTING THE CHART. Each firm reports a different thing. Pictet's 757 includes custody-only assets it does not manage; Julius Baer's 521 is managed assets only; Lombard Odier's 349 is total client assets against CHF 223bn actually managed. Like-for-like, Pictet and Julius Baer are much closer than the bars suggest. Knowing this is the point.

THE DEFINITIONAL TRAP

These numbers are not comparable and the industry knows it. Pictet reports 'assets under management **or custody**' - CHF 757bn, of which CHF 599bn is custody. Julius Baer reports assets under management only - CHF 521bn. Lombard Odier reports CHF 349bn of total client assets but only CHF 223bn actually under management. UBS reports 'invested assets'. Vontobel reports 'advised client assets'. Anyone who quotes these side by side without saying so is quoting marketing. Say so, and you will be the only candidate who does.

Head to head

FIRM	OWNERSHIP	HEADLINE ASSETS	BUSINESS MIX	DISTINCTIVE
Pictet	7 working partners; unlisted	CHF 757bn (AUM or custody)	Roughly half wealth, half institutional, plus custody and alternatives	The only one of these with genuine scale in both wealth and institutional asset management. Largest active thematic manager globally.
UBS Global Wealth Mgmt	Listed; part of UBS Group	USD ~4.7tn invested assets	Universal bank: wealth, asset management, investment bank, Swiss retail	Overwhelming scale after the Credit Suisse integration. The conflict profile is the mirror image of Pictet's.

FIRM	OWNERSHIP	HEADLINE ASSETS	BUSINESS MIX	DISTINCTIVE
Julius Baer	Listed	CHF 521bn AUM	Pure-play wealth management	Best-in-class cost discipline (67.6% cost-income) but a series of credit and governance episodes to live down.
Lombard Odier	Partnership; unlisted	CHF 349bn client assets / CHF 223bn AUM	Wealth, asset management and a technology platform sold to other banks	Pictet's closest structural analogue - same city, same 1796-era vintage, same partnership logic, made the same 2014 legal conversion.
Vontobel	Listed; family-anchored	CHF 271bn advised assets	Wealth and asset management, plus structured products	Strong asset management brand; smaller wealth footprint.
J. Safra Sarasin	Family-owned	CHF 228.5bn AUM	Wealth management with an asset management arm	Deep-pocketed family owner; acquisitive where Pictet is not.
EFG International	Listed; anchored by BTG Pactual	CHF 185bn AUM	Wealth management	Grows through hiring relationship managers - the purest organic model in the peer group.
Union Bancaire Privée	Family-owned	CHF 184.5bn client assets	Wealth and asset management	Explicitly acquisitive: 2025 growth of 19.5% was driven by acquisitions, the strategy Pictet refuses.
LGT	Princely House of Liechtenstein	CHF 386bn AUM	Wealth and a large alternatives arm (LGT Capital Partners)	The other great non-listed, family-anchored competitor, and strong exactly where Pictet is now pushing - private markets.

Where Pictet is genuinely, checkably first or unusual

- **Largest active thematic equity manager in the world by assets.** Not a claim about quality - a measurable position, as at June 2025.
- **Roughly 50/50 wealth and institutional.** Every named peer above is heavily one or the other. This is the structural difference and it is under-discussed.
- **No investment bank at all.** Not a small one - none. The CHF 8.0m trading book proves it.
- **Partner-owned at this scale.** Lombard Odier is the only close comparison in Switzerland, and it is roughly a third of the size on managed assets.
- **Manufacturing and custody in one house.** Pictet builds the funds, runs the mandates, and holds the assets - and sells that custody platform to outsiders as a fourth business.

The market Pictet is competing in

Context worth having, because it explains the urgency behind everything in Part 10:

- The number of Swiss private banks has fallen to **79, from 156 in 2010**. Banks below roughly CHF 10bn of assets face existential cost pressure.

- The **median cost-income ratio rose to 78.2%** from 75.6%. Profitability across the sector sits below what investors expect.
- **Swiss interest rates returned to 0%**, removing the interest income buffer that flattered 2023 and 2024 results across the whole sector.
- Regulatory cost layers and the global minimum tax are grinding margins lower on every franc of assets.

THE ONE-LINE COMPETITIVE SUMMARY

Pictet is not the biggest in any single arena it competes in, and it has chosen a growth model - organic only, no acquisitions - that guarantees it never will be. Its bet is that being the only firm credible in all three arenas at once, with an ownership structure nobody can replicate, is worth more over decades than winning any one of them.

What actually makes Pictet different

Every candidate will say "independence, partnership, long-term thinking, 220 years". Here is what those words mean when you attach numbers to them - and, just as important, where the story is weak.

The brochure answer versus the real answer

WHAT THE BROCHURE SAYS WHAT IT ACTUALLY MEANS, WITH THE EVIDENCE

"We are independent"	There is no external shareholder to satisfy, so capital can be retained rather than distributed on a schedule. The total capital ratio is 21.6% against a 12% requirement and liquidity coverage is 191% against 100% . Roughly double what is asked in both cases. Independence here is a balance sheet fact, not a slogan.
"We are a partnership"	Seven people own it, work in it, live in Geneva, retire at 65 and sell their stake at book value . Nobody can get rich by inflating the firm and selling out. That single rule removes the incentive behind most value destruction in finance.
"We think long term"	The firm states it will soft-close successful strategies to protect returns - a deliberate sacrifice of fee income. And it has made essentially no acquisitions in 220 years while its sector consolidated from 156 banks to 79.
"We have no conflicts of interest"	There is no investment bank, no corporate finance arm, no research to sell to issuers, and a trading book of CHF 8.0m against CHF 42.9bn of total assets - 0.02% . The claim is verifiable in the accounts, which is rare.
"We are 220 years old"	True but almost the least interesting fact. The load-bearing date is 1980 , when the firm entered institutional asset management and stopped being only a private bank.

The three things that are genuinely structural

1. **The dual engine.** Wealth management is high-margin, relationship-driven and people-heavy. Institutional asset management is lower-margin, scalable and product-driven. Running both at similar size means the fixed costs of research, risk and technology are spread across two revenue pools whose flows do not move together - institutions and families rarely panic in the same month. Nearly every competitor is 80-90% one or the other.
2. **Owning the plumbing.** Pictet manufactures the funds, runs the mandates *and* custodies the assets. Most rivals rent at least one of those. It also means the group can sell the platform to third parties - CHF 256bn of external custody - turning a cost centre into a fourth business line.
3. **Product invention as a habit.** Emerging markets in 1991, thematic in 1995, water in 2000, robotics in 2015. The firm's most profitable franchises were all created rather than acquired, which is the only kind of growth its ownership model permits.

The honest weaknesses - read these carefully

WHERE THE STORY IS SOFT

- **Profit was flat in a record year.** CHF 667m against CHF 665m, despite record assets and near-doubled net new money. The rate cycle gave back everything the fee engine earned.
- **The cost-income ratio is middling.** 72.0% on Pictet's own basis, 73.6% including depreciation and provisions - better than the 78.2% sector median but well behind Julius Baer's 67.6%. A partnership can afford this; it is still a gap.
- **Organic-only growth caps the rate.** Net new money of CHF 19bn on CHF 724bn of opening assets is 2.6%. Respectable, not transformational, and there is no acquisition lever available to accelerate it.
- **The headline asset figure flatters.** CHF 599bn of the CHF 757bn is custody, and CHF 202bn of the gross figure is double-counted. Anyone who has read note 25 knows this.
- **The 2023 US settlement.** Banque Pictet entered a deferred prosecution agreement and paid USD 122.9m over 1,637 undeclared US accounts holding USD 5.6bn between 2008 and 2014, and was subsequently the subject of a Senate Finance Committee inquiry. The firm self-disclosed in 2014 and cooperated extensively - but a business whose product is trust does not get to treat this as ancient history.
- **The ETF push is late and small.** The first US active ETFs gathered roughly USD 72m and USD 12m in their early months. Entering a wrapper a decade after it started growing is defensible; being sub-scale in it is still a risk.
- **Style concentration.** The thematic franchise is structurally tilted towards growth equities and mid-caps. A prolonged value or large-cap regime hurts the firm's single most distinctive business disproportionately.

HOW TO USE THE WEAKNESSES

Do not lead with them and do not dwell. But if you are asked 'what worries you about Pictet?' or 'what would you change?', having a specific, numerate answer - the interest-rate dependency, or the sub-scale ETF position - is far stronger than praising the partnership again. It signals that you evaluated the firm rather than admired it.

What is happening right now

Pictet has been unusually busy since late 2025. Almost every announcement falls into one of three pushes, and read together they describe a firm responding to a specific commercial problem.

The problem Pictet is solving

Set the scene first, because the moves only make sense against it. Swiss interest rates went back to zero, so the interest engine that flattered 2023 and 2024 across the whole sector switched off - visible in Pictet's own 15% drop in net interest result. Passive funds keep taking share from traditional active management, compressing fees. Regulatory cost and the global minimum tax grind margins lower. The sector's median cost-income ratio has risen to 78.2%, and the number of Swiss private banks has halved since 2010.

A firm that refuses to make acquisitions has exactly two levers in that environment: charge more for something, or cost less to run. Every move below is one of those two.

FIGURE 21 The three strategic pushes of 2025 - 26

PUSH ONE PRIVATE MARKETS <i>Defend the fee rate</i>	PUSH TWO VEHICLES & DISTRIBUTION <i>Get into the wrapper clients now want</i>	PUSH THREE COST AND PLACE <i>Make the operating model cheaper</i>
Mar 2026 EUR 403m first direct private equity fund, Entrepreneur Capital I - majority stakes in founder-owned B2B services and education businesses in DACH and the UK Jun 2026 USD 1.53bn for the sixth private equity co-investment fund - the largest such raise the firm has done Jun 2026 Zurich Marriott Hotel bought outright for the direct real estate strategy 2026 Dutch and German logistics platforms with Stoneweg and Scantum; Copenhagen development JV with Catella Jul 2026 USD 253m first environment co-investment fund	Oct 2025 First three actively managed US ETFs: AI Enhanced International Equity, Cleaner Planet, AI & Automation Feb 2026 Fourth US ETF - AI Enhanced US Equity Apr 2026 Five AI-enhanced active UCITS ETFs launched in Europe (PQUS, PQWD, PQEM, PQEU, PQWX), built on the 30-year-old Quest quantitative franchise Apr 2026 US emerging market ETFs: EMFI for EM debt and RISE for EM ex-China Feb 2026 Pictet Asset Services wins Pareto Asset Management as a servicing client	May 2025 New financial technology hub opened in Lisbon - a lower-cost engineering base 2025-26 Move into the Campus Pictet de Rochemont in Geneva; 2,500 workplaces consolidated, building carbon cut from 900 to 150 tonnes a year Jul 2026 Kelvin Tay appointed Chief Investment Officer for Asia - investment authority moved closer to the fastest-growing client pool Ongoing Singapore reinforced as the Asian booking centre alongside the Hong Kong branch

What each push actually means

PUSH ONE - PRIVATE MARKETS, AND MOVING UP THE FEE LADDER

This is the most important of the three and the most commonly misunderstood. Pictet has invested in alternatives since 1989, so the news is not that it is entering private markets. The news is *how* it is doing it

now. There is a ladder:

RUNG	WHAT PICTET DOES	ROUGHLY WHAT IT CAN CHARGE
Fund of funds	Picks other managers' private equity funds	Thin - a fee on top of someone else's fee
Co-investment	Invests alongside a lead manager in specific deals	Better - and the sixth such fund raised USD 1.53bn in June 2026, the firm's largest
Direct investment	Buys control of companies itself. Entrepreneur Capital I closed at EUR 403m in March 2026, taking majority stakes in founder- and family-owned B2B services and education businesses in the DACH region and the UK, led by Edmund Buckley. Five deals done: Pareto FM, Technology Services Group, QGroup, Tretor and one further holding.	Full private equity economics - several times a long-only fee
Direct real assets	Buys buildings outright. The Zurich Marriott Hotel in June 2026, logistics platforms in the Netherlands and Germany with Stoneweg and Scantum, a Copenhagen development joint venture with Catella.	Management fee plus performance, on assets with no daily price

THE READ-THROUGH

This is a **margin** strategy, not an asset-gathering strategy. EUR 403m is a rounding error against CHF 757bn. But a franc in a direct private equity fund earns several times what a franc in a long-only equity mandate earns, and it is locked up for years rather than redeemable on a bad Tuesday. Pictet is buying revenue quality, not revenue volume. If you can articulate that distinction, you will be ahead of almost everyone.

PUSH TWO - GETTING INTO THE WRAPPER CLIENTS NOW WANT

Pictet had essentially no ETF presence until October 2025, when it launched its first three actively managed US ETFs. A fourth followed in February 2026, two emerging market ETFs in April 2026, and - most significantly - a range of five AI-enhanced active UCITS ETFs in Europe in April 2026, listed in Ireland under the tickers PQUS, PQWD, PQEM, PQEU and PQWX.

The interesting detail is that these are not new investment capabilities. They are the thirty-year-old **Quest** quantitative franchise put into a new container. That is the whole logic of the active ETF boom: the wrapper is what changed, not the investing. Pictet is late - the early US funds had gathered only around USD 72m and USD 12m - but the strategic reasoning is sound, because a firm that cannot be bought and cannot buy anyone must at least be present wherever money is flowing.

PUSH THREE - COST AND GEOGRAPHY

Less glamorous, equally deliberate. A new financial technology hub in Lisbon opened in May 2025 - a lower-cost engineering base than Geneva. The move into the Campus Pictet de Rochemont consolidates 2,500 workplaces in Geneva and cuts the annual carbon footprint of the firm's Geneva buildings from around 900 tonnes to 150. And in Asia, Kelvin Tay was appointed Chief Investment Officer for Asia in July

2026, moving investment authority closer to the fastest-growing pool of new wealth, with Singapore reinforced as the regional booking centre alongside the Hong Kong branch.

The full 2025-26 news ledger

DATE	ANNOUNCEMENT	WHY IT MATTERS
May 2025	Lisbon financial technology hub opens	Cost base
Aug 2025	First-half 2025 results: CHF 711bn of assets	Assets dipped 2% on markets before recovering strongly in H2
Sep 2025	Dutch logistics platform 'Axis' launched with Stoneweg	Direct real estate build-out
Oct 2025	First three US active ETFs launch	New distribution wrapper
Feb 2026	Full-year 2025 results: record CHF 757bn, profit flat	The headline year
Feb 2026	Fourth US ETF; Pareto Asset Management signed by Asset Services	Third-party servicing wins
Mar 2026	EUR 403m Entrepreneur Capital I closes	First direct private equity fund - a genuine first
Mar 2026	Catella joint venture in Copenhagen	Development exposure
Apr 2026	Five AI-enhanced active UCITS ETFs in Europe; US EM ETFs	The European ETF entry
Apr 2026	Viga joint venture expanded with Project Delta	Real estate partnership model
May - Jun 2026	Logistics assets added in Kerpen and the Netherlands	Platform build-out
Jun 2026	USD 1.53bn sixth private equity co-investment fund	Largest PE raise the firm has done
Jun 2026	Zurich Marriott Hotel acquired	Direct hospitality real estate, betting on constrained Swiss supply and rising visitor numbers
Jul 2026	USD 253m first environment co-investment fund	Sustainability meets private markets
Jul 2026	Kelvin Tay appointed CIO Asia	Asia investment leadership

Half-year 2026 results had not been published as at 26 August 2026; on recent practice they are expected in late August or early September.

Interview toolkit

Everything above, compressed into what you can actually deploy in a conversation.

The fifteen numbers to memorise

NUMBER	WHAT IT IS
CHF 757bn	Assets under management or custody, 31 December 2025, up 4.5%
CHF 19bn	Net new money in 2025, up from CHF 11bn
CHF 3.21bn	Operating income, up 1.5%
CHF 667m	Consolidated profit - flat on 2024
80%	Share of income that is net commissions and services
-15%	Fall in the net interest result, the reason profit was flat
72.0%	Cost-income ratio (73.6% including depreciation and provisions)
42.4 bps	Revenue margin on assets - flattered down by custody assets
CHF 8.0m	Trading portfolio assets, against CHF 42.9bn of total assets
21.6% / 191%	Total capital ratio and liquidity coverage, against 12% and 100% requirements
5,507	Full-time equivalent staff; 31 offices in 20 countries
285 / 267 / 36 / 256	CHF bn in Wealth Management, Asset Management, Alternative Advisors (inside the other two) and third-party Asset Services custody
7 and 42	Managing Partners and Equity Partners
USD 62bn / 16	Thematic equity assets and number of strategies - the largest active thematic manager in the world
1805 and 1980	Founded; and the year it became an institutional asset manager, which matters more

Five things to say that most candidates will not

1. **"The 2025 result is a rates story, not a business story."** Record assets, near-doubled net new money, commissions up 4% - and profit completely flat, because the net interest result fell 15% as Swiss rates went back to zero. The fee engine worked; the rate engine handed the gains back.
2. **"The trading book is CHF 8m on a CHF 42.9bn balance sheet."** Two hundredths of one per cent. When Pictet says it has no conflicts of interest, that is not a value statement, it is an accounting fact.

3. **"The CHF 757bn is not comparable with Julius Baer's CHF 521bn."** Pictet reports assets under management *or custody*; CHF 599bn of it is custody and CHF 202bn of the gross figure is double-counted. Knowing the composition shows you read the notes, not the press release.
4. **"The direct private equity move is about margin, not scale."** EUR 403m is immaterial against CHF 757bn. But it moves Pictet from picking other people's funds to owning companies outright, which is several times the fee rate on money that cannot run away.
5. **"Pictet is roughly half wealth and half institutional, and almost nobody else is."** That, not the 220 years, is the structural difference. It dates from the 1980 Mellon joint venture in London.

Questions you could ask them

- With rates back at zero, how much of the growth plan now has to come from fee margin rather than asset growth - and is that what the private markets push is for?
- The firm has always grown organically. As the Swiss sector consolidates from 156 banks to 79, does never acquiring start to become a competitive disadvantage rather than a cultural strength?
- The active ETF range launched in Europe this year is built on the Quest franchise. Is the ambition to distribute existing capability more widely, or to build genuinely new strategies in that wrapper?
- Asset Services targets independent managers and says it wants to be the finest rather than the biggest. Where does that stop being viable against the scale of BNY or State Street?
- How does a partnership where seven people must agree, and where partners retire at 65, keep pace when a competitor can approve an acquisition in a board meeting?

A two-minute "why Pictet" answer

SAY SOMETHING CLOSE TO THIS

Pictet interests me because it is two businesses that almost never sit together at this size. It is a 220-year-old Geneva private bank with CHF 285bn for wealthy families, and it is a CHF 267bn institutional asset manager that happens to be the largest active thematic equity house in the world - and that second half only exists because of a joint venture in London in 1980. Underneath both sits its own custody platform, which it also sells to outsiders. What makes that combination hold together is the ownership: seven working partners, equal votes, retirement at 65, stakes sold at book value, so nobody can ever get rich by inflating the firm. You can see the consequences in the accounts - a 21.6% capital ratio against a 12% requirement, and a trading book of CHF 8m on a CHF 43bn balance sheet. It is a firm that has chosen to compound slowly and refuse things, and I would rather learn the industry somewhere that has to be right over decades than somewhere that has to be right this quarter.

Likely questions, and the shape of a good answer

IF THEY ASK

GO HERE

What does Pictet do?

The four business lines, but framed as the shape: half wealth, half institutional, on its own custody platform, with alternatives feeding both. Figure 14.

IF THEY ASK	GO HERE
How does Pictet make money?	80% net commissions, 13% net interest, 7% trading. Then the 2025 rates point, which is the interesting half of the answer.
What makes it different from Julius Baer or Lombard Odier?	The institutional asset management half, and the thematic franchise. Julius Baer is a pure-play wealth manager; Lombard Odier is closer structurally but roughly a third the size on managed assets.
What is the biggest risk?	Pick one and be specific: rate dependency, organic-only growth in a consolidating market, or style concentration in the thematic book.
What would you change?	The sub-scale ETF position, or the cost-income gap to Julius Baer. Both are real, both are fixable, neither is disrespectful.
Why not a bigger firm?	The ownership structure and what it does to time horizons. Use the soft-closing example - it is a checkable sacrifice of revenue.
Tell me something recent about the firm	Entrepreneur Capital I, the first direct private equity fund, closed at EUR 403m in March 2026 - and explain the fee-ladder logic behind it.

Data notes, caveats and sources

What is a fact and what is a calculation

- **Reported by Pictet:** all balance sheet and income statement figures, the asset breakdown in Figure 8, business line assets and headcount, capital and liquidity ratios, office and staff counts, and every dated news item.
- **Calculated for this document:** every ratio in the margin table in Part 2 - revenue margin, cost-income, operating and net margin, per-employee figures, returns on equity, organic growth rate and effective tax rate. Pictet does not publish these. The workings are shown so they can be checked.
- **Estimated or approximate:** the fee ranges in the client table in Part 1 are industry norms, not Pictet disclosures. The currency conversions in Figure 20 use an approximate rate.

Caveats that matter

- Pictet does not disclose revenue or profit by business line. Any split of profitability between wealth management and asset management is inference, not fact, and this document deliberately does not attempt one.
- Peer asset figures use each firm's own reporting basis and are not like-for-like. This is flagged in Part 8 and is the single most common error in casual comparisons.
- Pictet Asset Management's assets are quoted at two dates on two bases: CHF 267bn at 31 December 2025 in the annual review, and USD 354bn at 30 June 2026 on the firm's own website. Both are correct; they are six months and one currency apart.
- Thematic assets of about USD 62bn across 16 strategies is the most recent figure located; other public sources quote EUR 61bn across 17 strategies at September 2024 and a USD 79bn figure for a wider thematic grouping. Treat it as "around USD 60-80bn depending on definition".
- Half-year 2026 results were not published as at the date of writing.

Sources

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- Baker McKenzie newsroom, Zurich Marriott acquisition, June 2026
- INSEAD case study, "Banque Pictet & Cie SA: A Family-Run Firm with a Unique Co-Evolution"

A CLOSING NOTE ON HOW TO USE THIS

Nothing here is confidential and none of it is hard to find - but almost nobody assembles it. The advantage is not in knowing a secret; it is in having done the arithmetic, read note 25, noticed the trading book, and connected the house view to the corporate strategy. That is what reads as genuine interest rather than preparation.